competing consolidators and deter some potential entities from becoming competing consolidators, as noted by several commenters.[1245] The Commission is adopting a two-pronged approach to competing consolidators with respect to Regulation SCI, as described more fully below. The Commission estimates that under this approach, due to the threshold levels being adopted, the requirements of Regulation SCI[1246] will apply to most competing consolidators following an initial transition period.[1247] In addition, the Commission is adopting a tailored set of operational capability and resiliency obligations designed to help ensure that the provision of consolidated market data products is prompt, accurate, and reliable, that is applicable to all competing consolidators during the transition period and to competing consolidators that are below the adopted threshold thereafter.

III at 4; NYSE Letter II at 15; Schwab Letter at 7; TD Ameritrade Letter at 13; ACTIV Financial Letter at 2; IDS Letter I at 13; STANY Letter II at 6–7; Angel Letter at 19–21.

1245 See Nasdaq Letter III at 4; NYSE Letter II at 15; Schwab Letter at 7; TD Ameritrade Letter at 13; ACTIV Financial Letter at 2; IDS Letter I at 13; Angel Letter at 19–21.

1246 As discussed in the Proposing Release, Regulation SCI would, among other things, require SCI entities, which would now include SCI competing consolidators (as discussed below), to establish, maintain, and enforce written policies and procedures reasonably designed to ensure that their key automated systems have levels of capacity, integrity, resiliency, availability, and security adequate to maintain their operational capability and promote the maintenance of fair and orderly markets, and that such systems operate in accordance with the Exchange Act and the rules and regulations thereunder and the entities' rules and governing documents, as applicable. See 17 CFR 242.1001 (Rule 1001) of Regulation SCI. Broadly speaking, Regulation SCI also requires SCI entities to take appropriate corrective action when systems issues occur; provide certain notifications and reports to the Commission regarding systems problems and systems changes; inform members and participants about systems issues; conduct business continuity and disaster recovery testing and penetration testing; conduct annual reviews of their automated systems; and make and keep certain books and records. See Rules 1002–1007 of Regulation SCI.

1247 See infra Section III.H for a discussion of the initial transition period.

First, the Commission believes that the inclusion of certain competing consolidators in the definition of "SCI entity" is appropriate. Several commenters supported the Commission's proposal to apply the requirements of Regulation SCI to all competing consolidators, emphasizing the importance of ensuring the resiliency and reliability of the infrastructure for market data dissemination.[1248] However, in recognition of the more limited role that certain competing consolidators may play in the securities markets and to address the concerns of other commenters who believed that the compliance costs of Regulation SCI would be burdensome to potential competing consolidators and could pose a significant barrier to entry for some potential competing consolidators, the Commission has made certain modifications from the proposal.[1249]

The Commission is adopting a definition of "SCI competing consolidator" that will subject competing consolidators to Regulation SCI, after a one-year transition period (as discussed below) ("SCI CC Phase-In Period"),[1250] if they are above the adopted threshold.[1251] This approach is similar to that taken regarding the definition of "SCI ATS," which applies Regulation SCI to those ATSs that meet certain volume thresholds and thus were determined by the Commission to play a significant role in the securities markets.[1252]

1248 See FINRA Letter at 4, n.14; MEMX Letter at 8; Fidelity Letter at 3, 10. See also Clearpool Letter at 9; STANY Letter II at 6.

1249 See supra notes 1244–1245 and accompanying text.

1250 See infra note 1268 and accompanying text (discussing that SCI competing consolidators will not be required to comply with Regulation SCI until one year after the compliance date of Rule 614(d)(3)).

1251 The definition of "SCI entity" under Rule 1000 of Regulation SCI would be amended to include "SCI competing consolidators."

1252 See Rule 1000 of Regulation SCI (definition of "SCI ATS"). As discussed further below, for those competing consolidators, that are either (i) newly registered and operating during the initial transition period, or (ii) do not otherwise satisfy the SCI entity

Specifically, an "SCI competing consolidator" will be defined in Rule 1000 of Regulation SCI to mean "any competing consolidator, as defined in §242.600 which during at least four of the preceding six calendar months, accounted for five percent (5%) or more of consolidated market data gross revenue paid to the effective national market system plan or plans required under §242.603(b) for NMS stocks (1) listed on the New York Stock Exchange LLC, (2) listed on The Nasdaq Stock Market LLC, or (3) listed on national securities exchanges other than the New York Stock Exchange LLC or The Nasdaq Stock Market LLC, as reported by such plan or plans pursuant to the terms thereof."[1253]

In the Proposing Release, the Commission requested comment on whether it would be appropriate to set a threshold to determine which competing consolidators should be subject to Regulation SCI.[1254] The Commission received one comment addressing the threshold inquiries, which expressed support for the adoption of a threshold.[1255] The Commission believes that adopting a threshold to determine which competing consolidators are subject to Regulation SCI is responsive both to commenters who emphasized the importance of ensuring the resiliency, reliability, and integrity of the infrastructure for market data dissemination, as well as

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definition (because they are below the five percent threshold for an SCI competing consolidator), a more tailored set of safeguards would apply.

1253 See Rule 1000 of Regulation SCI.

1254 See Proposing Release, 85 FR at 16789 (requesting comment on whether a threshold test would be appropriate for competing consolidators subject to Regulation SCI and, if so, what such a threshold test should be).

1255 See Data Boiler Letter I at 57 (arguing that because compliance with Regulation SCI would be a possible barrier to entry, the Commission should adopt a threshold of ten percent for requiring compliance and arguing also that those below the threshold should be encouraged to voluntarily adopt SCI as "best practices"). See also infra note 1263 and accompanying text.

commenters that expressed concerns about barriers to entry. In adopting a threshold in the definition of "SCI competing consolidator," the Commission believes it is establishing a reasonable scope for the application of Regulation SCI to competing consolidators.

The adopted threshold level is designed to identify those entities which, if they were to experience a systems issue, could potentially affect a substantial number of market participants and impact a broad swath of the national market system.[1256] The Commission believes that the 5% threshold level is reasonable for assessing materiality both generally and in the context of competing consolidated market data providers.[1257] Specifically, the Commission believes that the adopted threshold level is not so high so as to exclude competing consolidators for which a systems issue could have a significant impact on market participants or the national market system as a whole and, at the same time, provides an opportunity for a competing consolidator to enter and grow its business prior to incurring the costs of compliance with Regulation SCI if it were to exceed the threshold level.[1258] Notably, during this time competing consolidators will be

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1256 Further, while the Commission believes that the competing consolidator model is designed to result in multiple viable sources of consolidated market data, the Commission believes that adopting a threshold will ensure that, if the market is largely reliant on a small number of competing consolidators for the distribution of consolidated market data, such competing consolidators will be subject to the safeguards of Regulation SCI. The Commission believes that this could arise if only a small number of entities register as competing consolidators, if certain competing consolidators dominate the market, or if competing consolidators subsequently exit the market resulting in a concentration of competing consolidators. See also infra notes 1315–1316 and accompanying text (discussing "critical SCI systems" and competing consolidators).

1257 The adopted five percent threshold is consistent with the threshold level in the "Fair Access" rule (Rule 301(b)(5)) of Regulation ATS, as well as one of the volume threshold levels in the definition of SCI ATS in Rule 1000 of Regulation SCI.

1258 Basing the threshold on a measure of the consolidated market data gross revenue paid to the plan, rather than number of subscribers, will reflect the value of the consolidated market data as determined by the plan's fees and thus account for those competing

subject to the requirements of Rule 614(d)(9) of Regulation NMS, as discussed below. The Commission recognizes that this threshold ultimately represents a matter of judgment by the Commission relating to the application of Regulation SCI to a new decentralized consolidation model and a new category of regulated entity. In the exercise of this judgment, the Commission has sought to identify a threshold level designed to ease barriers to entry for competing consolidators during the SCI CC Phase-In Period and for new competing consolidators thereafter.[1259]

The adopted thresholds describe plan revenues by reference to current Tapes A, C, and B, respectively.[1260] Although it is possible that the existing definition of tapes may be modified post-implementation, the thresholds acknowledge that listing exchange status has been, and may continue to be, relevant as the plan(s) develop pricing for data content underlying consolidated market data because Tape A, C, and B encompass securities listed on NYSE, Nasdaq, and national securities other than NYSE and Nasdaq, respectively.[1261] Accordingly, this threshold is designed to help ensure that any competing consolidator that might have material market share

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consolidators that may have fewer subscribers but pay higher fees due to having mainly professional subscribers who typically trade at significantly higher volumes than retail customers, as well as those competing consolidators that may have a relatively high number of retail subscribers that pay lower fees.

1259 Competing consolidators not subject to Regulation SCI will be subject to Rule 614(d)(9), as discussed below.

1260 As discussed below, the Commission is also requiring the amendment to the effective national market system plan(s) to include a provision that requires the plan(s) to calculate and publish information relating to the consolidated market data gross revenues on a monthly basis.

1261 Should pricing for consolidated market data become more granular than exists today (e.g., by moving from a per-tape basis to a per-listing exchange basis), reconsideration of the adopted thresholds may be appropriate.

for the securities in current Tapes A, B, or C (where a significant number of market participants rely on it for such market data, for example, if a competing consolidator were to focus or specialize in stocks listed on a particular exchange), is subject to the requirements of Regulation SCI, even if its market share in stocks listed across all national securities exchanges is not as significant.[1262]

Although one commenter suggested that the Commission adopt a ten percent threshold for compliance with Regulation SCI,[1263] the Commission believes that such a threshold could exclude competing consolidators for which a systems issue or cybersecurity incident could have

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1262 For context, annual tape revenues reported by the CTA and Nasdaq UTP plans in 2019 were as follows: $162.9 million, $95.8 million, and $130.7 million, Tapes A, B, C, respectively. Thus, Tape A accounted for 41.8% of total revenues, Tape B accounted for 24.6% of total revenues, and Tape C accounted for 33.6% of total revenues. Five percent of these annual figures divided by 12 (i.e., per month) yield monthly figures as follows: $679,000, $399,000, and $545,000, for Tapes A, B, and C, respectively. As illustrated by these figures, the notional value of the threshold level in the definition of SCI competing consolidator will vary for NMS stocks (i) listed on the NYSE, (ii) listed on Nasdaq, or (iii) listed on national securities exchanges other than the NYSE or Nasdaq. However, based on these 2019 figures, the threshold level for each tape represents over 1% of total monthly revenues across all tapes ($324,500). Specifically, the threshold for Tape A represents approximately 2.1% of total monthly revenues, the threshold for Tape B represents approximately 1.2% of total monthly revenues, and the threshold for Tape C represents approximately 1.7% of total monthly revenues. See CTA, SIP Revenue Allocation Summary, Q1 2020 Quarterly Revenue Disclosure, available at https://www.ctaplan.com/publicdocs/ctaplan/CTA_Quarterly_Revenue_Disclosure_1Q2020.pdf (last accessed Nov. 27, 2020); UTP, SIP Revenue Allocation Summary, Q1 2020 Quarterly Revenue Disclosure, available at http://www.utpplan.com/DOC/UTP_Revenue_Disclosure_Q12020.pdf (last accessed Nov. 27, 2020).

1263 See Data Boiler Letter I at 57 (arguing that those below the threshold should be encouraged to voluntarily adopt SCI as "best practices"). The commenter did not provide further detail as to how it believed this threshold should be measured (e.g., total subscribers) or provide any rationale as to why this would be an appropriate threshold level.

a significant impact on market participants or the national market system as a whole. As noted above, the numerical thresholds in the definition of "SCI competing consolidator" reflect an assessment by the Commission of the likely economic consequences of the specific numerical threshold included in the definition.

The Commission believes that the time measurement period for calculating the threshold ("during at least four of the preceding six calendar months"), is appropriate for evaluating the market share of a competing consolidator, because it provides a new entrant time to develop their business prior to having to incur the costs of complying with Regulation SCI,[1264] and it provides a long enough period of data on revenue and subscriber levels to evaluate reasonably a competing consolidator's significance to the market.[1265] It also mitigates a possible barrier to entry for some new competing consolidators. Further, the Commission believes that this time measurement period will help to ensure that competing consolidators meeting the definition of SCI competing consolidator are those that have sustained gross revenue levels at the threshold warranting the protections of Regulation SCI and is less likely to result in competing consolidators moving in and out of the scope of the definition than if the Commission were to adopt a shorter measurement period.

The adopted definition of "SCI competing consolidator" also provides that consolidated market data gross revenue paid to the effective national market system plan or plans required under §242.603(b) for NMS stocks (1) listed on the NYSE; (2) listed on Nasdaq; or (3) listed on

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1264 See infra note 1271 (discussing the time period before a competing consolidator would be subject to Regulation SCI).

1265 This time measurement period is drawn from the current measurement period in the definition of "SCI ATS." See Rule 1000 of Regulation SCI (definition of "SCI ATS"). This measurement period is also consistent with the measurement period in Rule 301(b)(6) of Regulation ATS. 17 CFR 242.301(b)(6).

exchanges other than NYSE or Nasdaq will be "as reported by such plan or plans pursuant to the terms thereof." Competing consolidators will need information regarding the consolidated market data gross revenues to assess whether they meet the 5% threshold and are required to comply with Regulation SCI. Accordingly, as discussed above, Rule 614(e) will provide that the amendment to the effective national market system plan(s) will have to include a provision that requires the plan(s) to calculate and publish total consolidated market data gross revenues for NMS stocks (1) listed on the NYSE, (2) listed on Nasdaq, and (3) listed on national securities exchanges other than the NYSE or Nasdaq, on a monthly basis.[1266]

As noted above, the requirements of Regulation SCI will not apply to any competing consolidator[1267] during an initial period of one year after the compliance date of Rule 614(d)(3) of Regulation NMS.[1268] Instead, during this SCI CC Phase-In Period, competing consolidators will be subject to the requirements adopted in Rule 614(d)(9) of Regulation NMS, as discussed below, which includes requirements similar to some of the key provisions of Regulation SCI. The Commission believes that this phase-in period will mitigate the concerns raised by some

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1266 See supra Section III.E.

1267 National securities exchanges are subject to the requirements of Regulation SCI because they are SCI entities. See Rule 1000 of Regulation SCI. As discussed above, an exchange affiliated competing consolidator may qualify for a conditional exemption from certain requirements otherwise applicable to national securities exchanges. See supra Section III.C.7(a)(iv). If an exchange qualifies for such an exemption, during the SCI CC Phase-In Period and, subsequent to such period, if it does not exceed the threshold in the definition of "SCI competing consolidator" in Rule 1000 of Regulation SCI, its exchange-affiliated competing consolidator would be subject to the requirements of Rule 614(d)(9) of Regulation NMS and not subject to the requirements of Regulation SCI.

1268 Rule 614(d)(3) requires competing consolidators to make consolidated market data products available to subscribers on a consolidated basis on terms that are not unreasonably discriminatory. See infra note 1356 and accompanying text.

commenters regarding potential barriers to entry by allowing potential competing consolidators to enter the market and develop their business and subscriber base, without requiring them to immediately shoulder the costs and burdens of Regulation SCI as SCI entities. At the same time, applying the requirements of Rule 614(d)(9) of Regulation NMS provides that competing consolidators are immediately subject to certain obligations to help ensure the reliability and resiliency of their systems during the SCI CC Phase-In Period. In addition, during this initial period, the plan processors would still be required to operate and would be SCI entities, subject to the requirement of Regulation SCI.[1269]

In addition, the Commission believes that it is appropriate to provide competing consolidators who enter the market after the SCI CC Phase-In Period and meet the revenue threshold in the definition of "SCI competing consolidators" for the first time, a period of time before they are required to comply with the requirements of Regulation SCI. Thus, Rule 1000 provides that an SCI competing consolidator will not be required to comply with the requirements of Regulation SCI until six months after satisfying the threshold in the definition of SCI competing consolidator for the first time.[1270] The Commission believes that this six-month "grace" period is appropriate and necessary to allow an SCI competing consolidator the time needed to take steps to meet the requirements of the rules, rather than requiring compliance immediately upon meeting the threshold level. The Commission also believes that this additional period for compliance should give a new competing consolidator entrant the

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1269 See infra Section III.H (discussing the transition period and compliance dates).

1270 See Rule 1000 of Regulation SCI (paragraph (b) of definition of "SCI competing consolidator").

opportunity to initiate and develop its business by allowing additional time before a new competing consolidator must incur the costs associated with compliance with the requirements of Regulation SCI.[1271]

Some commenters argued that competing consolidators should not only be subject to the standard requirements of Regulation SCI but should be held to the heightened requirements imposed on "critical SCI systems."[1272] As the Commission stated in the Proposing Release, under the current consolidation model, because the exclusive SIPs represent single points of failure, they are all subject to heightened requirements as "critical SCI systems."[1273] However, the competing consolidator model is designed to result in multiple viable sources of consolidated market data, and the competing consolidator model would not be initiated until a transition period is complete. Accordingly, the Commission believes that including systems of such competing consolidators within the scope of "critical SCI systems" is unnecessary, because any

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1271 After the SCI CC Phase-In Period discussed above has passed (i.e., after which paragraph (c) of the definition of SCI competing consolidator will no longer apply), any new competing consolidator would have at least ten months, at a minimum, before it would be subject to Regulation SCI, because the time measurement period within paragraph (a) of the definition of SCI competing consolidator (that a competing consolidator will be subject to Regulation SCI only if they meet the numerical threshold "during at least four of the preceding six calendar months") would occur prior to the start of the six-month "grace" period. For example, if a competing consolidator began operating in January of a year after the initial one-year SCI CC Phase-In Period, the earliest it would satisfy the thresholds in paragraph (a) of the definition of SCI competing consolidator for the first time would be May 1st of that year (i.e., if such competing consolidator satisfied the threshold requirement in each of January, February, March and April). It would then have six months from that time to become fully compliant with Regulation SCI, and thus would have to comply with the requirements of Regulation SCI by November 1st.

1272 See Cboe Letter at 25–26; Nasdaq Letter IV at 35–36; Data Boiler Letter I at 57; STANY Letter II at 6.

1273 See Proposing Release, 85 FR at 16786.